

2023

Bachelor in Business Administration

Course Title: **Treasure Management**

Code No: **BNK207** Semester: **8th Semester**

Full Marks: **60** Pass Marks: **24** Time: **3 hours**

Candidates are required to answer the questions in their own words as far as practicable.

Section A

1. When setting deposit rates, banks typically offer higher rates for long-term deposits compared to short-term deposits.
2. Assets and liability management helps commercial banks to manage and control their interest rate risk.
3. Capital, reserves, borrowings, profit are the major sources of fund of commercial banks for long term purpose.
4. Effective risk management cannot reduce the probability of threats.
5. Deposit accounts are the number one source of funds at most banks.
6. Transaction deposits include regular interest-bearing demand deposits that earn an interest payment.
7. In the case of positive mismatch, the maturity of liabilities is greater than the maturity of assets.
8. A derivative security is not the real banking product.
9. Statutory liquidity ratio is the maximum amount of liquid fund bank has to maintain.
10. Upscale target pricing model is targeted to the price sensitive customers.

Section B

Short Answer Questions:[6 × 5 = 30]

11. What are the principles of treasury management? Explain.
12. What are the major sources of fund of a bank? Explain the internal and external sources of funds.
13. Define interbank lending. List out the major types of credit products offered by Nepalese commercial bank with their features.
14. What is asset liability management committee (ALCO)? Explain the roles and responsibilities of ALCO.
15. Illustrate forward contracts and futures contracts with suitable example. Mention, in brief, the characteristics of forward and futures contracts.
16. Define banks' investment portfolio. Explain the investment securities of commercial banks in Nepal.

Section C

Comprehensive Answer Questions:[2 × 10 = 20]

- 17.** The treasury department of bank is also responsible for foreign currency management to meet the needs of its primary business operations. Foreign exchange dealer's association of Nepal (FEDAN) was established under terms and condition for transaction in foreign. In the light of this statement, explain the major roles and responsibilities of FEDAN.
- 18.** Risk is an event that may cause damage to an institution's income and reputations. Explain the different types of risk in treasury operation management.